

To the right lies the pathway that Warren Buffett and other successful investors have taken. It is a 50-year history that is full of life experiences, simple arithmetic, and long-term business owners. It seeks to get investors from point A to point B not by providing a smooth short-term price ride but by orchestrating an investment approach that seeks to maximize, on an economic risk-adjusted basis, the intrinsic-value rate of growth. Proponents of the Buffett approach do not believe the market is always efficient. Instead, they focus on asset values first and prices later—or sometimes not at all.

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Now that you have an outline, albeit brief, of the concepts of modern portfolio theory, you can easily see how applying the Buffett approach will put you in conflict with its proponents. Not only are you intellectually at odds with modern portfolio theorists, but you are also vastly outnumbered, both in the classroom and the workspace. Embracing the Warren Buffett Way makes you a rebel looking out across the field at a much larger army of individuals who invest totally differently. As you will learn, being an outcast has its own emotional challenges.

I have written about Warren Buffett for over 20 years. Over that time period, I have not met anyone who has vehemently disagreed with the methodology outlined in *The Warren Buffett Way*. I have, however, met countless individuals who, although they wholeheartedly agree with Buffett's writings, were never emotionally able to apply his lessons. This, I have come to believe, is the single most important key to understanding his success, and it is one part of the puzzle that has not been fully explored. In a word, Warren Buffett is rational, not emotional.

Why Psychology Matters

In 2002 Daniel Kahneman—a psychologist—was awarded the Nobel Prize in economics “for having integrated insights from the psychological research into economic science, especially concerning human judgment and decision-making under certainty.” That signaled the formal arrival of behavioral finance as a legitimate force in how to think about capital